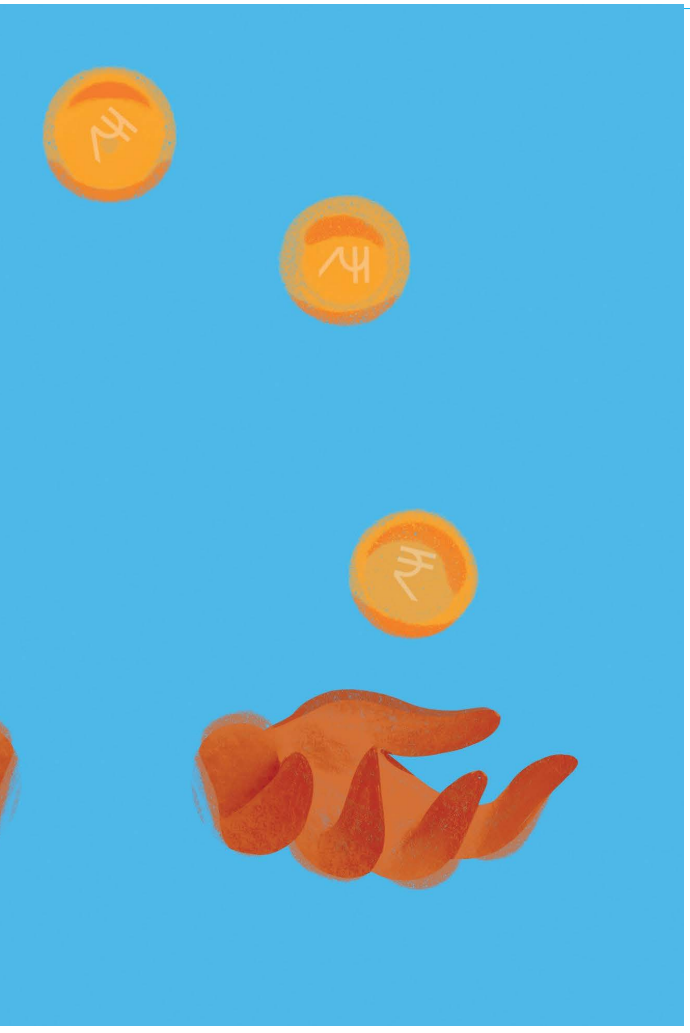


benefit from the tax savings available on repayment of the loan. To evaluate which of the two options works well in terms of saving on taxes, we explore the two systems based on claiming deductions, exemptions and rebates. In the case of deductions up to Rs 1.5 lakh, the new tax regime is an outright winner. So, taxpayers who were limiting their tax savings only within the Rs 1.5 lakh limit provided by Section 80C will benefit by shifting to the new tax regime with more money in their hands to decide.

THE NEW TAX REGIME LEAVES MORE MONEY IN THE HANDS OF THE TAXPAYER FOR THEM TO DECIDE ON HOW THEY WISH TO SAVE AND INVEST

However, the moment the deductions go up and touch as high as Rs 3.75 lakh or more, the old regime is favourable. This is possible by using the Section 80C limit of Rs 1.5 lakh, Section 80D limit of Rs 75,000 to Rs 1 lakh with medical insurance cover for one's family and also senior citizen parents, repayment of home loan interest up to Rs 2 lakh under Section 24, an additional contribution of Rs 50,000 in NPS under Section 80CCD(1B), standard deduction of Rs 50,000 and rebate on income up to Rs 5 lakh (*See: Income Tax with Deductions of Rs 3.8 lakh*).

According to recent finance ministry data on taxpayers, there has been a surge in income tax payments by senior citizens in recent years, lifting the overall tax collections from them by as much as 61.5 per cent from pre-Covid levels to surpass Rs 1 lakh crore. The number of such taxpayers has also gone up to touch 8.67 million. The data on taxpayers presented in Parliament earlier this year showed that there were only 4.84 million individual taxpayers in the top-most 30 per cent slab in India, which leaves significant taxpayers in the lower tax bracket.

The data on taxpayers indicates that choosing a tax regime cannot be based on a straightforward tax slab rate or savings. There are many aspects that impact taxes and ideally one should spend time understanding their financial situation, financial plans and tax liability. If there is room for optimising their taxes by way of using the available tax savings avenues, one should explore them. For many youngsters, the new tax regime will seem favourable as it empowers them to choose the way they spend their income. Some of them may have the financial prudence to use the post-tax higher savings to invest towards financial goals. ■

INCOME TAX WITH DEDUCTIONS OF Rs 3.8 LAKH

Gross total income	Old Tax Regime	New Tax Regime	Difference (old-new)
₹5,00,000	Nil	Nil	Nil
₹6,00,000	Nil	Nil	Nil
₹7,00,000	Nil	Nil	Nil
₹7,50,000	Nil	Nil	Nil
₹8,00,000	Nil	30,000	-30,000
₹9,00,000	Nil	40,000	-40,000
₹10,00,000	26,500	52,500	-26,000
₹13,00,000	86,500	1,00,000	-13,500
₹15,00,000	1,33,500	1,40,000	-6,500
₹15,50,000	1,48,500	1,50,000	-1,500
₹17,00,000	1,93,500	1,95,000	-1,500
₹20,00,000	2,83,500	2,85,000	-1,500
₹30,00,000	5,83,500	5,85,000	-1,500

Old tax regime: Standard Deduction of Rs 50,000, deduction under Section 80C of Rs 1.5 lakh, deduction under Section 80D of Rs 55,000, deduction on NPS contribution of Rs 25,000 and principal component of home loan repayment under Section 24 of Rs 1.5 lakh (Total = Rs 3.8 lakh) and rebate on income up to Rs 5 lakh. **New Tax Regime:** Standard Deduction of Rs 50,000 and rebate on income up to Rs 7 lakh